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THESIS PROPOSAL

Barriers to Reshoring from Asian Markets: A Systematic Literature Review

verfasst von / submitted by

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June, 2026

1.1 Problem and questions of research

During the last few decades, globalization caused a large-scale production offshoring from the western countries to Asian markets since the labor cost in Asia is very low and the manufacturing capacities are huge. But in the post-COVID-19 world, international businesses are faced with greater vulnerabilities in their supply chains, geopolitical tensions and growing hidden operational costs overseas. Many multinationals now have a "production back home" agenda, but the problems arise on the execution of the program. The research gap concerns the absence of a coherent framework on the firm level to systematically classify these hurdles, since the majority of the literature in the field either addresses the drivers of reshoring or general macroeconomic trends in trade.

Core Research Question (Fragestellung): *What central barriers do manufacturing firms face when implementing reshoring strategies from Asian markets?*

Sub-Questions (Unterfragen): *1. How can the identified reshoring barriers be categorized into a systematic firm-level framework? 2. What are the managerial implications for international businesses to mitigate these corporate barriers?*

Objectives of the Study: The main purpose of this thesis is to find, narrow and combine academic results that were published in disparate and disjointed ways and were related to the challenges of turning back an offshore decision. This study intends to outline a comprehensive corporate matrix of barriers through a Systematic Literature Review of 20-25 peer-reviewed papers, and to give practical, risk mitigating supply chain managers actionable barrier countering strategies.

2. Theoretical Background

This thesis is based on the Transaction Cost Economics (TCE) theory and the Resource-Based View (RBV) theory in the context of International Business (IB) to examine the barriers that firms experience in exiting from Asian markets and their reasons.

The external and operational friction is explained by TCE: it is argued that when a company decides to leave a host country, they will have sunk costs, asset specificity, and hidden transaction costs, which they underestimate when planning their exit.

RBV is a focus on the internal capability gaps, it tells why reshoring is very difficult because of the scarcity of resources at home. Home markets have experienced "hollowed-out" suppliers over the last few decades, and a huge gap in domestic technical skills, with no lack of the basic competencies that are key to the successful reintegration of production.

3. Research Methodology

The methodology used is Systematic Literature Review with qualitative approach that is strictly followed according to the guidelines of transparent data screening and replicable data in the university. The research process has three stages:

The systematic keyword search is done on Google Scholar by searching the Boolean string: “reshoring” and “barriers” and “Asia” and “manufacturing”.

Selection Criteria: 20-25 peer-reviewed academic papers from high impact international business and operations management journals are selected. Sources that consider solely the macroeconomic, the trade theory or the promotional material are avoided with the aim of providing a very strict firm level focus.

Data Extraction & Synthesis: The accepted papers are analysed systematically to identify specific corporate barriers, categorized in a 4-pillar matrix: Regulatory/Institutional, Cultural/Organizational, Cost/Operational and Asset/Capability constraints.

4. Significance of the Study

This is a study with a dual significance, both theoretical and practical to the International Business field:

Academic relevance: This thesis adds to the reshoring literature in that it focuses on the shift from academic work on why companies want to reshore to why companies fail or struggle in the reshoring process.

It brings together scattered data into a single 4-pillar platform, supposedly replacing reshoring as a perfect strategic growth initiative and substituting it for a multi-faceted "correction mechanism" to rectify the miscalculations involved in offshoring.

Managerial relevance: This study can be used as a strategic risk assessment tool for practicing managers and supply chain directors. The findings emphasize the fact that hidden costs, capability gaps in the domestic market, and regulatory pitfalls in the host countries exist and offer international companies practical frameworks, including the concepts of Total Cost of Ownership analysis and Rightshoring, to help them make more resilient location decisions.

5. References

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